



**University of Kelaniya, Sri Lanka**



# **MGTE 34213: Managerial Finance**

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CIMA (UK) – Passed Finalist**

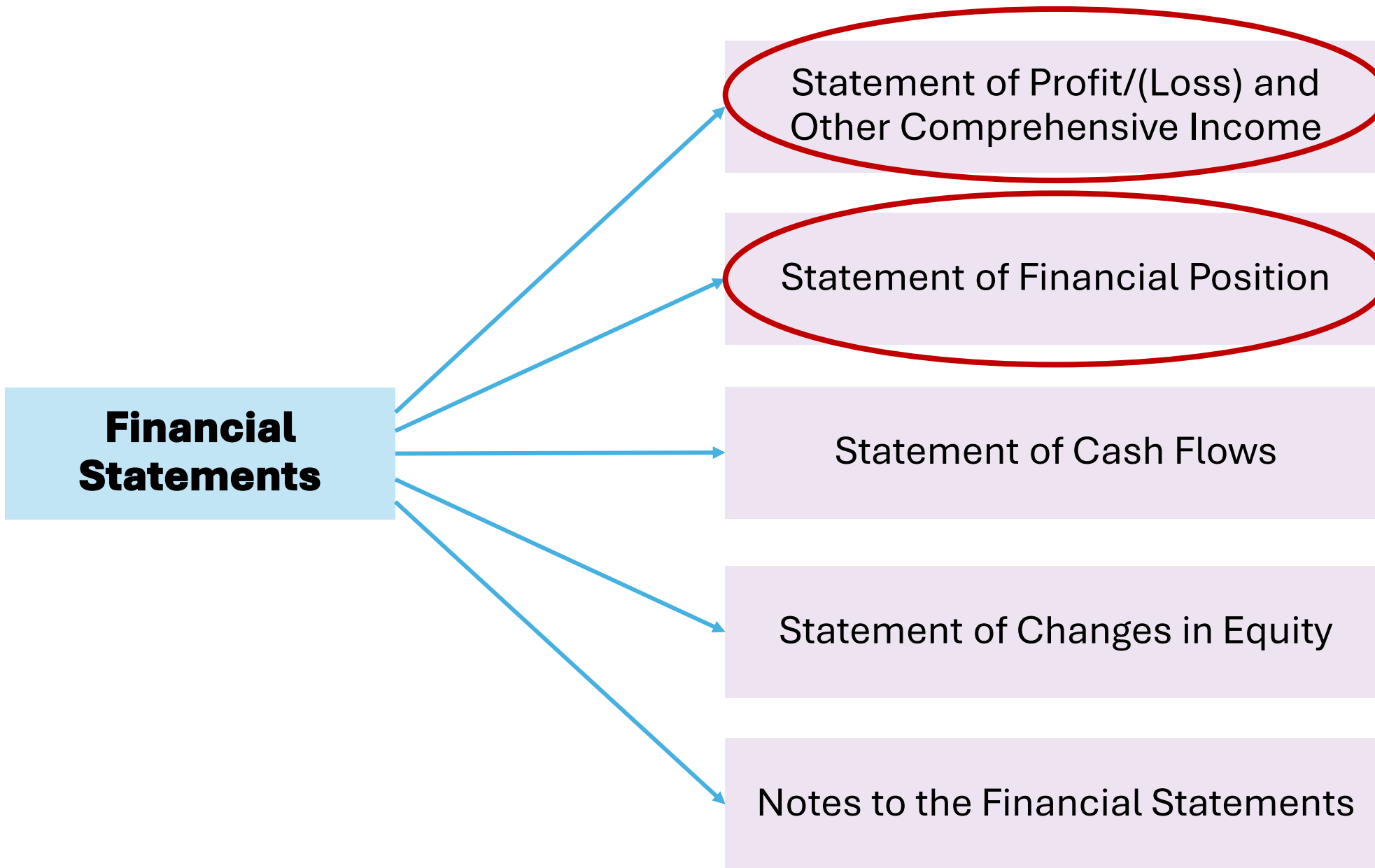
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**Session  
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# Financial Statements and Analysis – Part I



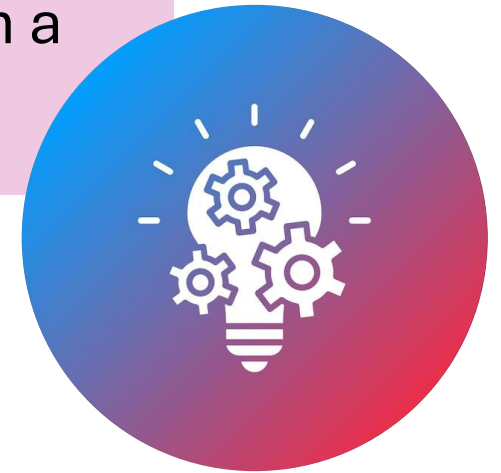


# The Statement of Financial Position

Financial statement which presents a firm's financial position on a particular date.

*or*

Financial statement showing a firm's accounting value on a particular date.



- The Statement of Financial Position is a snapshot of the firm.
- It is a convenient means of organizing and summarizing what a firm owns (its assets), what a firm owes (its liabilities), and the difference between the two (the firm's equity) at a given point in time.
- The liabilities side of the balance sheet primarily reflects managerial decisions about capital structure and the use of short-term debt

## STATEMENT OF FINANCIAL POSITION

AS AT 31 MARCH 2024

|                                       | Note | 31.03.2024<br>Rs.    | 31.03.2023<br>Rs.    |
|---------------------------------------|------|----------------------|----------------------|
| <b>Non Current Assets</b>             |      |                      |                      |
| Property, plant and equipment         | 12   | 1,297,921,235        | 1,428,745,744        |
| Right of use assets                   | 13   | 14,818,305           | 20,097,855           |
| Investment property                   | 14   | 49,300,000           | 47,000,000           |
| Financial investments                 | 16.1 | -                    | 52,404,002           |
| <b>Total Non Current Assets</b>       |      | <b>1,362,039,540</b> | <b>1,548,247,601</b> |
| <b>Current Assets</b>                 |      |                      |                      |
| Inventories                           | 17   | 1,503,252,489        | 1,543,615,642        |
| Trade and other receivables           | 18   | 720,829,904          | 251,134,224          |
| Advances, deposits and prepayments    | 19   | 266,260,746          | 292,323,790          |
| Amounts due from related parties      | 20   | 791,351,485          | 838,560,900          |
| Investment in short term deposits     | 16.2 | 364,693,439          | 368,471,657          |
| Cash in hand and at bank              | 21   | 139,840,806          | 54,884,113           |
| <b>Total Current Assets</b>           |      | <b>3,786,228,869</b> | <b>3,348,990,326</b> |
| <b>Total Assets</b>                   |      | <b>5,148,268,409</b> | <b>4,897,237,927</b> |
| <b>Capital and Reserves</b>           |      |                      |                      |
| Stated capital                        | 22   | 186,732,000          | 186,732,000          |
| Revaluation reserve                   | 22.1 | 467,759,623          | 490,365,165          |
| Retained earnings                     |      | 1,611,962,344        | 1,180,318,604        |
| <b>Total Equity</b>                   |      | <b>2,266,453,967</b> | <b>1,857,415,769</b> |
| <b>Non Current Liabilities</b>        |      |                      |                      |
| Interest bearing loans and borrowings | 23.1 | 30,176,067           | 46,809,888           |
| Contract Liabilities                  | 28   | 41,906,545           | 50,976,855           |
| Retirement benefit obligation         | 24   | 106,204,862          | 94,638,446           |
| Deferred tax liability                | 25   | 164,403,113          | 198,718,062          |
| <b>Total Non Current Liabilities</b>  |      | <b>342,690,587</b>   | <b>391,143,251</b>   |
| <b>Current Liabilities</b>            |      |                      |                      |
| Trade and other payables              | 26   | 1,350,529,953        | 789,646,204          |
| Income tax payable                    | 27   | 132,612,595          | 34,812,225           |
| Contract Liabilities                  | 28   | 115,185,538          | 127,017,320          |
| Amounts due to related parties        | 29   | 84,088,702           | 30,839,270           |
| Interest bearing loans and borrowings | 23.2 | 856,707,067          | 1,666,363,888        |
| <b>Total Current Liabilities</b>      |      | <b>2,539,123,855</b> | <b>2,648,678,907</b> |
| <b>Total Liabilities</b>              |      | <b>2,881,814,442</b> | <b>3,039,822,158</b> |
| <b>Total Equity and Liabilities</b>   |      | <b>5,148,268,409</b> | <b>4,897,237,927</b> |

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

I certify that these financial statements comply with the requirements of the Companies Act no. 07 of 2007.

  
Head of Finance  
(Manufacturing Department)

  
Head of Finance  
(Service Department)

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board of Directors by;

  
Director

  
Director

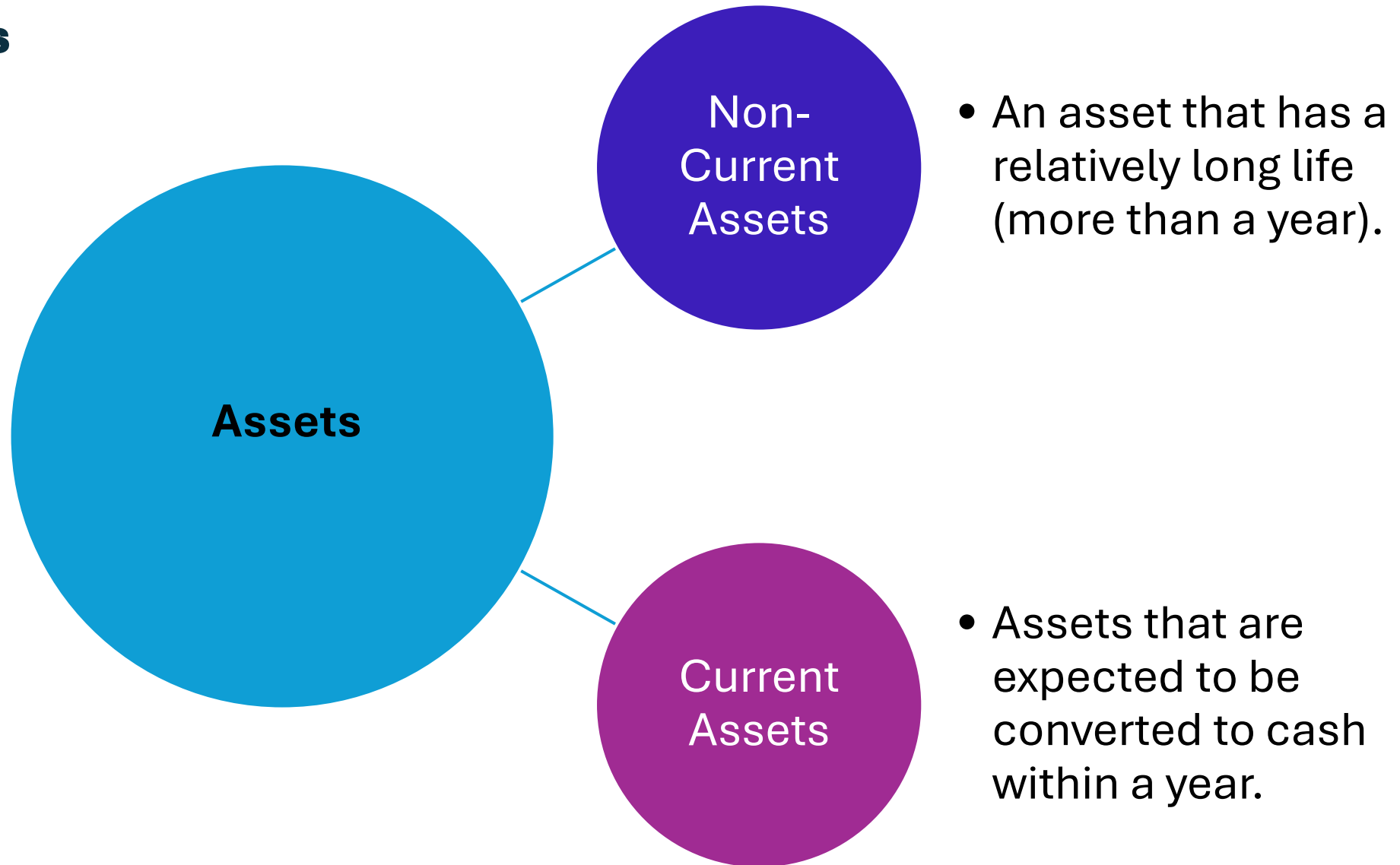
Colombo  
30<sup>th</sup> August 2024.

Abans Electricals PLC | Annual Report 2023 / 2024

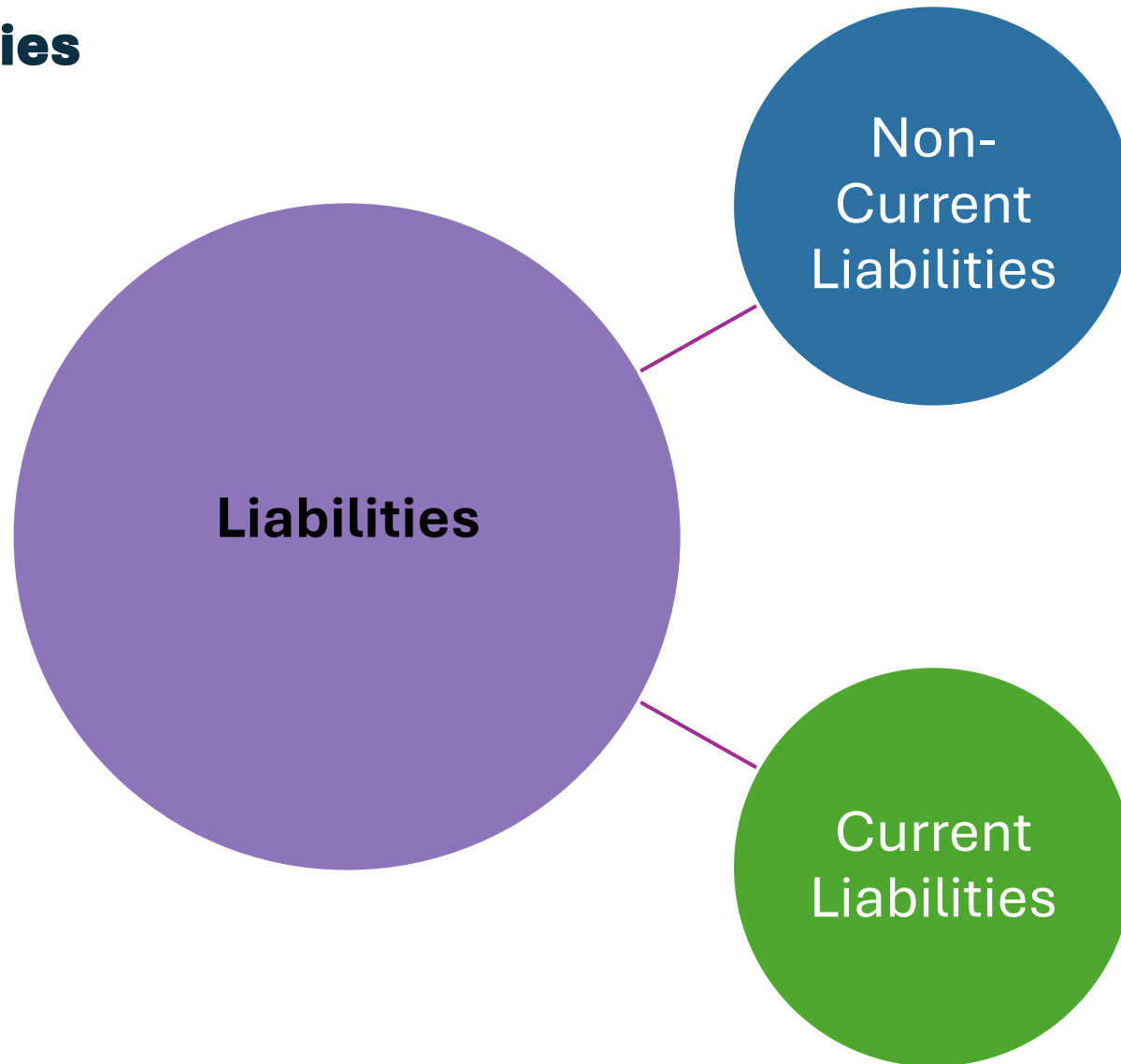
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## ❖ Assets



## ❖ Liabilities



- Financial obligations of a company that are not expected to be settled within one year.

- Liabilities that are expected to be settled within a year.

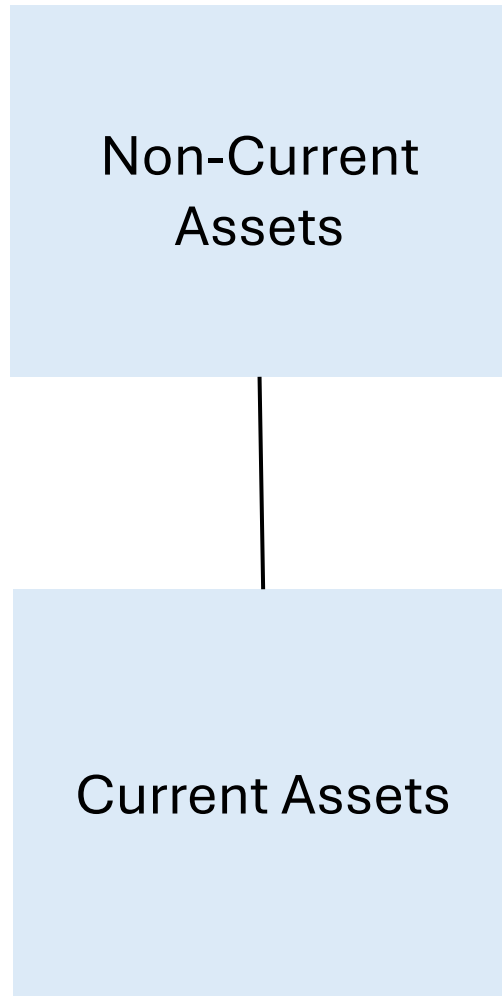


## ❖ Equity

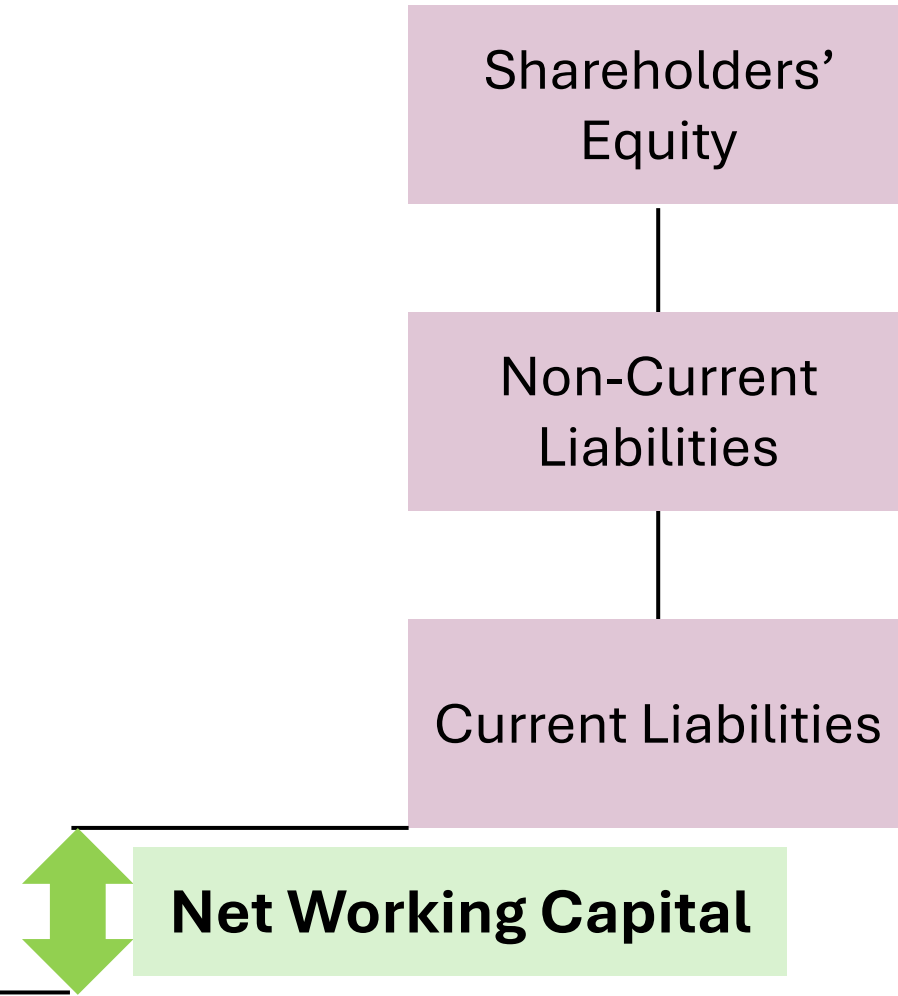




## Total Value of Assets



## Total Value of Equity and Liabilities



**Net Working Capital**



## ❖ Net Working Capital

- Net working capital is positive when current assets exceed current liabilities.
- Based on the definitions of current assets and current liabilities, this means the cash that will become available over the next 12 months exceeds the cash that must be paid over the same period.
- For this reason, net working capital is usually positive in a healthy firm.

$$\text{Net Working Capital} = \text{Current Assets} - \text{Current Liabilities}$$





## **Activity 01**

# **Building a Balance Sheet**



- A firm has current assets of Rs. 10,000, net non-current assets of Rs. 50,000, short-term debt of Rs. 7,000, and long-term debt of Rs. 20,000.
  - a. Develop the Statement of Financial Position
  - b. Calculate the shareholders' equity and net working capital.



- There are three particularly important things to keep in mind when examining a statement of financial position:
  1. Liquidity
  2. debt versus equity, and
  3. market value versus book value



## ❖ Liquidity

- Liquidity refers to the **speed and ease with which an asset can be converted to cash**.
- Gold is a relatively liquid asset; a manufacturing facility is not.
- Liquidity has two dimensions: **ease of conversion versus loss of value**.
- Any asset can be converted to cash quickly if we cut the price enough.
- A highly liquid asset is, therefore, one that can be quickly sold without significant loss of value.
- An illiquid asset is one that cannot be quickly converted to cash without a substantial price reduction.



- Assets are normally listed on the statement of financial position in order of decreasing liquidity.
- Liquidity is valuable. The more liquid a business is, the less likely it is to experience financial distress.
- However, liquid assets are generally less profitable to hold.
- There is, therefore, a trade-off between the advantages of liquidity and forgone potential profits.



## ❖ Debt Versus Equity

- The use of debt in a firm's capital structure is called **financial leverage**.
- The more debt a firm has (as a percentage of assets), the greater its degree of financial leverage.
- Debt acts like a lever in the sense that using it can greatly magnify both gains and losses.
- Financial leverage increases the potential reward to shareholders, but it also increases the potential for financial distress and business failure.





- To the extent that a firm borrows money, it usually gives the first claim to the firm's cash flow to creditors.
- Equity holders are entitled to only the residual value, the portion left after creditors are paid. The value of this residual portion is the shareholders' equity in the firm.

$$\textit{Shareholders' Equity} = \textit{Assets} - \textit{Liabilities}$$



## ❖ Market Value Versus Book Value

- The values shown on the balance sheet for the firm's assets are **book values** and generally are not what the assets are actually worth.
- **Market value** refers to the price at which an asset, security, or company could be bought or sold in the open market.
- For current assets, market value and book value might be somewhat similar because current assets are bought and converted into cash over a relatively short span of time.
- For fixed assets, it would be purely a coincidence if the actual market value of an asset were equal to its book value.



- The **market value of a firm** refers to the total worth of a company in the open market, determined by the price investors are willing to pay for its equity and, in some cases, its debt.
- The **book value of a firm** represents its net worth based on accounting records. It is calculated as the company's total assets minus its total liabilities, reflecting the value that shareholders would theoretically receive if the company were liquidated.
- Managers and investors will frequently be interested in knowing the market value of the firm where this information is not on the statement of financial position.





## **Activity 02**

**Calculate the Book Value and  
Market Value of Abans  
Electricals PLC as of 31<sup>st</sup>  
March 2024**



- The fact that balance sheet assets are listed at cost means that there is no necessary connection between the total assets shown and the value of the firm.
- Similarly, the shareholders' equity figure on the balance sheet and the true value of the stock need not be related.
- For financial managers, then, the accounting value of the stock is not an especially important concern; it is the market value that matters.



## Question No. 01

The Klingon Corporation has net non-current assets with a book value of Rs. 700,000 and a market value of about Rs. 1,000,000. Net working capital is Rs. 400,000 on the books, but approximately Rs. 600,000 would be realized if all the current accounts were liquidated. Klingon has Rs. 500,000 in long-term debt, both book value and market value.

- a. What is the book value of the equity?
- b. What is the market value?



# The Statement of Profit/Loss

The financial statement summarizing a firm's financial performance over a period of time.



- When looking at a statement of profit/loss, the financial manager needs to keep three things in mind:
  1. Financial Reporting Standards
  2. Cash versus noncash items, and
  3. Time and costs.





## ❖ Non-Cash Items

- A primary reason that accounting income differs from cash flow is that an income statement contains non-cash items .

**e.g.: Depreciation, Amortization**

- For the financial manager, the actual timing of cash inflows and outflows is critical in coming up with a reasonable estimate of market value, so we need to learn how to separate the cash flows from the noncash accounting entries.



## ❖ Time and Costs

- The future has two distinct parts: the short run and the long run.
- The distinction has to do with whether costs are fixed or variable.
- In the long run, all business costs are variable.
- Given sufficient time, assets can be sold, debts can be paid, and so on.
- If our time horizon is relatively short, some costs are fixed they must be paid no matter what (e.g. Factory Rent).
- Some costs, such as wages to labourers and payments to suppliers, are still variable.
- As a result, even in the short run, the firm can vary its output level by varying expenditures in these areas.



- The distinction between fixed and variable costs is important, at times, to the financial manager.
- However, in practice, accountants tend to classify costs as either product costs or period costs.
- Product costs are those costs that are identified with goods purchased or produced for resale.
- Product costs include such things as raw materials, direct labor expense, and manufacturing overhead.
- These are reported on the income statement as costs of goods sold.AP



- Period costs are those costs that are not specifically related to manufacturing or purchasing a product or providing a service that generates revenues.
- Period costs are incurred during a particular time period and might be reported as selling, general, and administrative expenses.
- Some of these period costs may be fixed and others may be variable.
- The company president's salary, for example, is a period cost and is probably fixed, at least in the short run.



# Taxes

## ❖ Average Tax Rate

- Total taxes paid divided by total taxable income.

## ❖ Marginal Tax Rate

- Amount of tax payable on the next dollar earned.



## Question No. 02

Suppose a company has a taxable income of Rs. 200,000. The company is taxed at progressive tax rates as first Rs.50,000 at 15%, second Rs. 25,000 at 25%, 3<sup>rd</sup> 25,000 at 34% and the rest at 39%.

- a. Calculate the tax to be paid.
- b. Calculate average and marginal tax rates.



# Cash Flow

- Simply cash flow, refers to the difference between the cash inflow and cash outflow.
- The value of a firm's assets is equal to the value of its liabilities plus the value of its equity.
- Similarly, the cash flow from the firm's assets must equal the sum of the cash flow to creditors and the cash flow to stockholders which is known as ***cash flow identity***.

***Cash flow from assets = Cash flow to creditors + Cash flow to stockholders***



## ❖ Cash Flow from Assets

- Cash flow from assets refers to the total of cash flow to creditors and cash flow to stockholders, consisting of the: operating cash flow, capital spending, and change in net working capital.
- **Operating cash flow** refers to the cash flow that results from the firm's day-to-day activities of producing and selling.
- Some portion of the firm's cash flow is reinvested in the firm. **Capital spending** refers to the net spending on fixed assets (purchases of fixed assets less sales of fixed assets).
- **Change in net working capital** is measured as the net change in current assets relative to current liabilities for the period being examined and represents the amount spent on net working capital.





## ❖ Operating Cash Flow

- Operating cash flow is an important number because it tells us, on a very basic level, whether a firm's cash inflows from its business operations are sufficient to cover its everyday cash outflows.
- Therefore, a negative operating cash flow is often a sign of trouble.



## Question No. 03

- Suppose a company has earnings before interest and taxes (EBIT) of Rs. 694,000, depreciation of Rs. 65,000 and taxes paid of Rs. 212,000.00. Further, at the beginning of the year company had Rs. 1,644,000 worth of net fixed assets and at the end of the period Rs. 1,709,000 worth of net fixed assets while the depreciation for the period was Rs. 65,000.
- Further the beginning and ending current assets figures are Rs. 1,403,000 and Rs. 1,112,000 respectively while the beginning and ending current liability figures are Rs. 389,000 and 428,000 respectively.

Calculate the;

- a. Operating Cash Flow, Capital spending, and Change in net working capital .
- b. Cash Flow from Assets



## ❖ “Free” Cash Flow

- This is another name for cash flow from assets.
- This refers to cash that the firm is free to distribute to creditors and stockholders because it is not needed for working capital or fixed asset investments.



## ❖ **Cash Flow to Creditors and Stockholders**

- The cash flows to creditors and stockholders represent the net payments to creditors and owners during the year.
- Cash flow to creditors is interest paid less net new borrowing; cash flow to stockholders is dividends paid less net new equity raised.



## Question No. 04

- Suppose a company paid Rs. 70 in interest to creditors and their long-term debt rose by Rs. 454,000 to from Rs. 408,000 during a financial year. Further, they have paid Rs. 103,000 as dividends to the stockholders and they have raised Rs. 40,000 cash by issuing new shares.
- Calculate the;
  - a. Cash flow to creditors
  - b. Cash flow to stockholders
  - c. Total Cash flow to Creditors and Stockholders



# Thank You

